competitive, fair, and transparent market, society may be better off allowing them to own and manage their wealth, settling in return for a reasonable share of their produce as taxes. The more, however, that the rich are seen as idle or crooked – as having simply inherited or, worse, gained their wealth nefariously – the more the median voter should be willing to vote for tough regulations and punitive taxes on them.

In some emerging markets today, for example, property rights of the rich do not enjoy widespread popular support because so many of a country's fabulously wealthy oligarchs are seen as having acquired their wealth through dubious means. They grew rich because they managed the system, not because they managed their businesses well. When the government goes after rich tycoons, few voices are raised in protest. And, as the rich kowtow to the authorities to protect their wealth, a strong check on official arbitrariness disappears. The government is free to become more autocratic.

Consider, in contrast, a competitive free-enterprise system with a level playing field for all. Such a system generally tends to permit the most efficient to acquire wealth. The fairness of the competition improves perceptions of legitimacy. Moreover, under conditions of fair competition, the process of creative destruction tends to pull down badly managed inherited wealth, replacing it with new and dynamic wealth. Great inequality, built up over generations, does not become a source of great popular resentment.

On the contrary, everyone can dream that they, too, will become a Bill Gates or a Nandan Nilekani. When such universal aspirations seem plausible, the system gains added democratic support. The rich, confident of popular legitimacy, can then use the independence that accompanies wealth to limit arbitrary government, support rule of